

B.FED Community Broker Mechanism FAQ

(Frequently Asked Questions)

December 21, 2025

Q1: Is a broker in B.FED a "market manipulator"?

No. Within the B.FED Community, brokers have no pricing power whatsoever:

- Nectar transaction prices are uniformly set by the system
- Brokers can only place orders and execute transactions at system-determined prices
- Brokers cannot manipulate prices (e.g., pump-and-dump schemes)

A broker's role is a "liquidity executor," not a market manipulator.

Q2: Since prices are set by the system, how do brokers make money?

Brokers' income comes from a transparent, fixed, and predictable service spread:

- Regular Members ↔ Brokers: \$0.3283 per Nectar
- Brokers ↔ Brokers: \$0.2854 per Nectar (no handling fees)
- Fixed single-transaction spread: \$0.0428 per Nectar

This is a service reward for brokers providing continuous liquidity and assuming performance responsibilities to the community—not speculative gain.

Q3: Is this a "disguised exchange"?

No.B.FED does not possess the core characteristics of an exchange:

- No custody of user assets
- No centralized matching of all orders
- No free pricing order books
- No leverage, contracts, or derivative products

All transactions remain peer-to-peer C2C behaviors between "users ↔ brokers."The system only handles price display, matching condition verification, and enforcement of time-based rules.

Q4: Why is collateral required for brokers? Is it a restriction on freedom?

The purpose of collateral is not to restrict trading freedom, but to ensure transaction performance.In B.FED:

- Brokers can freely choose whether to participate
- However, once a buy order is placed, it is deemed a genuine commitment

- The community must prevent behaviors such as "placing orders without action" or "delaying transactions"

Collateral is not a penalty mechanism, but a performance credit mechanism.

Q5: Will the project party use the collateral? Will it form a fund pool?

No.

- Collateral assets are solely used for performance constraints
- The system will not embezzle, dispose of, or consume collateral assets
- Nectar used as collateral will only be utilized for penalties in the event of a default.
- The portion of nectar subject to penalties will be deposited into a public fund pool.

Collateral does not constitute community revenue nor enter operational funds.

Q6: Is the 15-minute performance rule too harsh?

The 15-minute timeframe is not arbitrarily set—it is based on three practical considerations:

- Reasonable response time for C2C transactions
- Prevention of malicious delays and order hoarding
- Provision of a clear, predictable user experience

Without a clear time limit:

- User costs would increase
- Liquidity would be diluted by "fake orders"
- System credibility would be repeatedly eroded

Q7: What if a broker fails to complete a transaction due to network issues?

The system judges results, not reasons. This is to avoid:

- Manual discretion
- Emotional judgments
- Ambiguity in rules

Under the rules, there is no distinction between "well-intentioned default" and "malicious default."

Q8: Is this unfair to brokers?

On the contrary, it is the fairest approach for all participants:

- Rules apply equally to all brokers
- No discrimination based on identity, scale, or seniority
- Strict equivalence between rights and responsibilities

To obtain a larger market-making scale, brokers must assume greater performance responsibilities.

Q9: Will regular users be at a disadvantage in this system?

No. The design of B.FED always adheres to:

- Uniform prices for all users
- Users' freedom to choose whether to transact
- Brokers assuming more obligations, not privileges

Regular members do not need to provide collateral or bear performance risks, yet they can enjoy a stable, predictable trading experience.

Q10: Can system pricing be modified arbitrarily?

No. Price adjustments:

- Are made by the system based on the overall phase of the community
- Are not altered by the actions of individual brokers or users
- No ad-hoc, behind-the-scenes, or personal interventions

The stability of the pricing mechanism is one of the foundational pillars of trust in the B.FED Community.

Q11: What if brokers collectively fail to act?

The system has designed protective mechanisms:

- Brokers' order placement capacity is strongly tied to collateral
- Performance failure automatically triggers penalties
- The system can dynamically reduce the order limit for individual brokers

No broker, regardless of scale, can override the rules.

Q12: Is this broker mechanism a short-term strategy?

No.B.FED's broker mechanism is a long-term, phase-scalable system:

- Suitable for the community's early-stage price stability needs
- Can evolve gradually as the community develops
- However, the principle of "performance first, rules first" will not change

Q13: What is the core value of this mechanism?

In a nutshell:Make transactions reliable, not exciting;Make rules the foundation of trust, not individuals.

Q14: Does broker withdrawal equal "running away"?

No.In the B.FED system:"Running away" requires leaving **without fulfilling responsibilities**.B.FED's withdrawal mechanism stipulates that withdrawal is only permitted if:

- No outstanding orders
- No ongoing performance transactions
- No unresolved violation records

The system prohibits withdrawal if responsibilities remain unfulfilled.

Q15: Can a broker suddenly withdraw and leave users stranded?

No. Once a broker submits a withdrawal application, the system immediately:

- Prohibits new order placements
- Retains and enforces completion of all existing performance obligations

If there is any outstanding transaction: The withdrawal application will not take effect.

Q16: What happens if a broker submits a withdrawal application while fulfilling existing orders?

The system will determine:

- Failure to meet withdrawal conditions
- Direct rejection of the application

Withdrawal can only proceed if all of the following are "0":

- Pending orders
- Countdown orders
- Unsettled transactions

Q17 : Why is there a cooling-off period after broker exit? Is this a disguised form of punishment?

No. This is not a penalty. It is a system-level risk control mechanism known as a *Cooling-Off Period*.

The B.FED Community allows brokers to **freely enter and exit the system**, but it does **not allow high-frequency switching of broker status**, as this would introduce structural risks to the system.

1. Role Arbitrage Risk

If a broker were able to:

- Place orders today
- Exit broker status tomorrow
- Reapply the day after

Then the broker role could be abused as:

a short-term “instrumental identity” rather than a long-term execution responsibility.

This would weaken the system’s enforcement of **execution commitments** and undermine broker accountability.

2. System Liquidity Instability Risk

Brokers are **execution nodes of system liquidity**, not ordinary users.

Frequent entry and exit would lead to:

- Sharp fluctuations in listed order volumes
- Distorted liquidity forecasting
- In extreme cases, system-level matching instability

The cooling-off period exists to **smooth liquidity transitions and preserve system stability**.

3. Structural Loopholes for Responsibility Avoidance

Without a cooling-off period:

- Certain brokers could proactively exit during periods of market stress

- Then reapply once risks have passed

This is equivalent to:

temporarily stepping away at critical moments while avoiding system responsibility.

The cooling-off period is fundamentally designed to **protect responsibility continuity**, not to punish brokers.

Conclusion

The cooling-off period is a safeguard for system integrity, not a disciplinary measure against participants.

Q18: Can the cooling-off period stop a broker who really wants to "run away"?

Yes—it is one of the core lines of defense. During the cooling-off period:

- The broker's status is frozen
- Collateral Nectar remains locked by the system
- If any abnormalities or disputes are detected:
The system can directly intervene and handle them

Genuine "running away" requires two conditions:

- Immediate exit
- Immediate recovery of collateral

Neither is possible under B.FED's mechanism.

Q19: Will the collateral Nectar be confiscated after a broker withdraws?

If there are no violations:

- No confiscation
- No deductions

After the cooling-off period:

- The system automatically unlocks the collateral
- Nectar is fully returned to the broker

Penalties are only triggered in cases of violation.

Q20: What is the difference between voluntary withdrawal and violation expulsion?

This is a crucial distinction:

Item	Voluntary Withdrawal	Violation Expulsion
Voluntary Nature	Yes	No
Involves Violation	No	Yes
Fulfillment of Responsibilities	Must be completed	Unfulfilled

Collateral Handling	Full refund	Processed per penalty rules
System Attitude	Normal settlement	Risk control removal

"Running away" can only occur in cases of "violation expulsion," not voluntary withdrawal.

Q21: Will frequent broker "entry-exit-entry" disrupt the system?

No. Because the system has established:

- Cooling-off period restrictions
- Reapplication thresholds
- Cumulative performance record mechanisms

Accounts with frequent entry and exit:

- Will naturally lose market-making advantages
- Cannot obtain high-tier permissions in the long term

B.FED encourages long-term performance, not short-term speculative arbitrage.

Q22: Why does B.FED grant brokers the "right to withdraw"? Isn't it afraid they will leave?

On the contrary. Prohibiting withdrawal is the greatest risk. Because:

- Those who want to leave are already in an unstable state
- Forcing them to stay will only lead to inaction
- Withdrawal in accordance with rules results in predictable, controllable risks

What the system fears is not "leaving," but "leaving with unfulfilled responsibilities."

Q23: In a nutshell, does broker withdrawal equal "running away"?

No. In B.FED: Running away = Leaving without fulfilling responsibilities

Withdrawal = Normal cancellation after fulfilling all responsibilities

The two have clear, non-confusable boundaries in the system rules.

Conclusion

B.FED does not pursue short-term popularity nor cater to speculative logic. We have chosen a slower but more stable path:

- Price stability
- Transparent rules
- Clear performance obligations
- Controllable risks

This is a broker mechanism designed for long-term community building.